

BANARAS HINDU UNIVERSITY

B.Com. (Hons.) — Semester III Examination, 2016-17

Paper No. BCH-214: Cost Accounting

Time: 3 Hours

Maximum Marks: 70

Instructions: Answer all questions. The figures on the right hand side indicate marks.

Question 1. “Cost accounting system is neither unnecessary nor expensive, rather it is a profitable investment.” Discuss the statement to show the objectives and importance of cost accounting. [14]

OR

Distinguish between the following: [3.5+3.5+3.5+3.5]

- (a) Controllable costs and Uncontrollable costs
- (b) Direct costs and Indirect costs
- (c) Relevant costs and Irrelevant costs
- (d) Product costs and Period costs

Question 2. Write notes on the following: [7+7]

- (a) Time Keeping
- (b) Time Booking

OR

Give the basis of division of standing charges in calculating machine hour rate. [4]

Question 2(b). From the following particulars, compute the machine hour rate: [10]

- Purchase price of machine: Rs. 1,90,000
- Freight and installation charges: Rs. 10,000
- Working Life: 5 Years
- Repairs and maintenance: 50% of Depreciation
- Annual Power Expenses @ 25 paise per unit: Rs. 6,000
- Charges for an 8-hour day:

- (a) Power Rs. 48
- (b) Lubricating Oil Rs. 40
- (c) Consumable stores Rs. 56

(d) Wages

Rs. 160

Question 3. How would you treat the following items in a cost sheet? [4+4+2+4]

- (a) Expenses incurred on the removal and re-erection of machines
- (b) Training expenses
- (c) Packing expenses
- (d) Welfare expenses

OR

A firm manufactured and sold 5,000 machines in the year 2014. Its Trading and Profit and Loss Account for the year is as follows:

Liabilities	Amount (Rs.)	Assets	Amount (Rs.)
To Cost of Materials	4,00,000	By Sales (5,000 units)	20,00,000
To Direct wages	6,00,000		
To Manufacturing Expenses	2,50,000		
To Gross Profit c/d	7,50,000		
Total	20,00,000	Total	20,00,000
To Salaries	3,00,000	By Gross Profit b/d	7,50,000
To Rent and Taxes	50,000		
To Selling Expenses	1,50,000		
To General Expenses	1,00,000		
To Net Profit	1,50,000		
Total	7,50,000	Total	7,50,000

For the year 2015, it is estimated that:

- (a) The output and sales will be of 6,000 machines.
- (b) The prices of material will rise by 25% in comparison to previous years.
- (c) Wages will increase by 12.5%.
- (d) Manufacturing expenses will increase in proportion to the combined cost of materials and wages.
- (e) Selling expenses per unit will remain unchanged.
- (f) Other expenses will remain unaffected by the rise in output.

Prepare a statement showing the price at which the machines to be manufactured in 2015 should be marketed so as to earn a profit of 10% on the selling price. [14]

Question 4. Answer the following questions: [5+9]

- (a) What are the characteristics of the process costing method?
- (b) What do you understand by normal wastage, abnormal wastage, and abnormal gain? State how each should be treated in cost accounts.

OR

A product passes through three processes: X, Y, and Z. The details of expenses incurred on the three processes are as under:

Particulars	Process X	Process Y	Process Z
Material used	5,000 Tons	–	–
Cost per ton (Rs.)	200	–	–
Manufacturing Expenses (Rs.)	3,62,500	1,10,000	45,000
Weight lost in processing	5%	10%	20%
Scrap sold (per ton)	Rs. 50	Rs. 50	Rs. 50
Scrap Quantity	250 tons	200 tons	100 tons
Sale price per ton (Rs.)	350	500	800

$\frac{2}{3}$ of process X and $\frac{3}{4}$ of process Y are passed on to the next process and the balance are sold.

You are required to prepare Process Accounts showing cost per ton and profit earned at each process.

[14]

Question 5. Answer the following questions:

[4+10]

- (a) What are the characteristics of the contract costing method? Explain.
- (b) Explain the following:
- (i) Work-in-progress valuation
 - (ii) Work certified and uncertified work
 - (iii) Notional profit
 - (iv) Estimated profit

OR

A contractor commenced a building contract on 1st October, 2013. The contract price is Rs. 4,40,000. The following data pertaining to the contract for the year 2014-15 has been compiled from his books:

• **Opening Balances (April 1, 2014):**

(a) Work-in-progress (certified)	Rs. 53,000
(b) Materials at site	Rs. 2,000

• **Expenses incurred during 2014-15:**

(a) Materials issued	Rs. 1,12,000
(b) Wages paid	Rs. 1,08,000
(c) Hire of Plant	Rs. 20,000
(d) Other expenses	Rs. 34,000

• **Closing Balances (March 31, 2015):**

(a) Materials at site	Rs. 4,000
(b) Work uncertified	Rs. 8,000
(c) Work certified	Rs. 4,05,000

The cash received represents 80% of work certified. It has been estimated that further costs to complete the contract will be Rs. 23,000 including the materials at site as on March 31, 2015.

Prepare the contract account and determine the profit on the contract for the year 2014-15 on the estimated profit basis which has to be credited to the profit and loss account. [14]